

KEYSTONE

Dislocation-reversion in individual municipal bonds — buying forced-seller mispricings on the MSRB regulatory trade tape.

Asset class · US tax-exempt munis (CUSIP-level)

Backtest · 2013–2026

Benchmark · MUB (total return)

Universe · 3,085 bonds · 5.0M prints

+3.2%

EXCESS VS CTRL
p<0.001

74%

WIN RATE
3,089 trades

+4.6%

MEAN / TRADE
~1yr, incl coupon

+4.74%

CAGR
MUB +2.13%

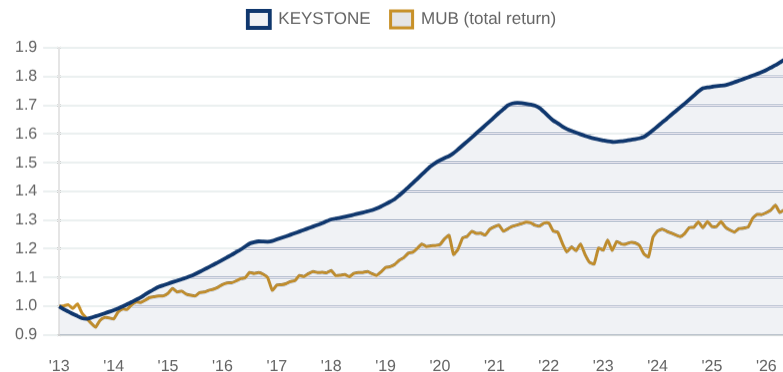
+85.7%

TOTAL (13.4Y)
MUB +32.5%

-8.0%

MAX DD*
MUB -13.7%

GROWTH OF \$1 — TOTAL RETURN VS MUB



	Total	CAGR	Max DD*
KEYSTONE strategy	+85.7%	+4.74%	-8.0%
MUB (total return)	+32.5%	+2.13%	-13.7%

REGIME ROBUSTNESS — EXCESS VS MATCHED CONTROL

Era	Trades	Win	Mean/tr	Excess	p
2013–2016	205	93%	+6.49%	+2.66%	<.001
2017–2019	129	92%	+7.02%	+1.63%	0.00
2020–2021	518	85%	+8.18%	+10.68%	<.001
2022	891	35%	-2.73%	-2.08%	1.00
2023–2025	1375	86%	+6.10%	+4.50%	<.001

THE STRATEGY

Buy when a bond prints **≥3 pts below its own trailing 60-day median** (a forced-seller dislocation) and it clears a trailing-liquidity gate. **Fill** at the next customer-buy print. **Hold ~1 year**; **exit** into a customer-sell print. Coupon accrues throughout.

The dealer bid–ask spread (~0.44 pt round-trip) kills short-term timing but is a one-time cost against growing carry + reversion. Buying idiosyncratic dislocations and holding to reversion beats random entry **in the same bonds** — pure timing alpha, net of spread, carry and selection.

SIGNAL STRENGTH BY DEPTH (FULL SAMPLE)

Entry threshold	Trades	Win	Excess	p
≥1.0pt below median	5,094	70%	+0.38%	<.001
≥2.0pt below median	4,074	72%	+1.57%	<.001
≥3.0pt below median	3,089	74%	+3.25%	<.001

IN-SAMPLE → OUT-OF-SAMPLE (LOCKED)

Window	Trades	Mean/tr	Excess
In-sample 2012–2022	1,701	+2.56%	+1.99%
Out-of-sample 2023–25 (locked)	1,497	+6.40%	+4.76%

KEYSTONE-XL — the validated upgrade

The execution stack proven on corporates transfers verbatim: **limit entry** (fill only if buy price ≤ prior mid + 0.25), **1 position/issuer**, **recovery exit** (first sell print ≥21d once mid recovers to entry-day median). Full window 2012–26: **+7.97% CAGR** at **~4.7% maxDD** (base +4.35% / ~9.1%); OOS 2023–26 **+9.44% CAGR**, **98% win**, excess +2.34% (p<0.001) vs a cap-matched control. Validated in four independent samples (muni & corp, IS & OOS each).

Known failure mode — sustained rate selloffs

Mean-reversion is short a rate shock. In 2022 the whole market repriced down and dislocations did not revert (~1.99% excess). Size accordingly; an optional MUB-trend overlay mitigates it.

DATA & VALIDATION

- Source: MSRB EMMA — the regulatory trade tape (every muni trade, tick-level price/yield/size/side).
- Cross-endpoint price/count match: **100%**; Δprice/Δyield corr ~0.98.
- Customer-buy ≥ customer-sell same-day: 96.9%.

CAPACITY & POSITIONING

- Deep dislocations are rare: ~230/yr in the sampled book; ~7,000 bonds trade ≥250×/yr nationally.
- Patient-capital, capacity-limited sleeve; complements a core muni book.
- Currently **dormant** — no bond ≥3pt dislocated (calm market).

IMPLEMENTATION

- Daily screen on the fresh EMMA tape flags eligible dislocations.
- Fills sourced as the patient buyer into forced selling.
- Overlays: position sizing, credit screen, MUB-trend regime gate.

For institutional discussion only — not investment advice. Simulated results based on historical MSRB EMMA public trade data; net of modeled customer bid–ask spread, gross of fees/financing/taxes. *Drawdown is understated by linear intra-trade attribution (munis do not print daily); total return & CAGR are realized from actual entry/exit prints plus coupon. The out-of-sample window overlaps a muni bull market — the full-sample +3.25% excess is the through-cycle estimate. Past performance does not guarantee future results.